BEFORE THE DIRECTOR OF

THE ARIZONA DEPARTMENT OF HEALTH SERVICES

In the Matter of: Natural Herbal Remedies, Inc.	)))))))))))	Docket No.: 2023-MMR-T0220-DHS NOTICE OF INTENT TO REVOKE MARIJUANA ESTABLISHMENT LICENSE AND NOTICE OF RIGHT TO REQUEST ADMINISTRATIVE HEARING

I. JURISDICTION

The Arizona Department of Health Services (the "Department") is charged by Arizona Revised Statutes ("A.R.S.") § 36-132(A)(1) with the power and duty to enforce the body of laws that protect the health of the people of the State of Arizona. In addition, A.R.S. § 36-136(G) authorizes the Director of the Department (the "Director") to "make and amend rules necessary for the proper administration and enforcement of the laws relating to the public health."

The Smart and Safe Arizona Act (the "SASAA"), A.R.S. § 36-2854 *et seq*., was passed in November 2020 and became effective in December 2020. Rules adopted by the Department to implement the SASAA, Arizona Administrative Code ("A.A.C") R9-18-101 *et seq*., became effective January 15, 2021, as thereafter amended (the "Rules"). *See* A.R.S. § 36-2854 (giving the Department rulemaking authority under the SASAA).

"Before offering a batch of marijuana or of a marijuana product for sale or otherwise transferring marijuana or a marijuana product to a consumer," a marijuana establishment shall ensure that "each batch of marijuana is tested in compliance with requirements in R9-18-408 and Table 3.1." A.A.C. R9-18-311(A). In addition, a marijuana establishment shall ensure that "[o]nly

batches of marijuana or marijuana products for which testing results . . . are in compliance with the requirements in R9-18-408 and Table 3.1 are offered for sale or transfer." A.A.C. R9-18-311(B)(8).

"If a marijuana establishment receives a final report of testing . . . from a marijuana testing facility that indicates that a batch of marijuana or marijuana product does not comply with the requirements in R9-18-408 and Table 3.1," the marijuana establishment may request "retesting of the remaining portion of the sample . . . for all analytes that do not comply with the requirements in R9-18-408 and Table 3.1 by a second, independent marijuana testing facility." A.A.C. R9-18-311(C)(1). "If the final report of testing from the second, independent marijuana testing facility indicates that all analytes . . . comply with the requirements in R9-18-408 and Table 3.1," then the marijuana establishment may request retesting by a third independent marijuana testing facility but "[s]hall ensure that the batch of marijuana or marijuana product is not offered for sale or transfer" until after the retesting process is complete. A.A.C. R9-18-311(C)(3). "If the final report of testing from the third, independent marijuana testing facility indicates that the analyte . . . complies with the requirements in R9-18-408 and Table 3.1," then the marijuana establishment "may offer the batch of marijuana or marijuana product for sale or transfer." A.A.C. R9-18-311(C)(4)(a). If the final report of testing from either the second or third independent marijuana testing facility indicates that any analyte does not comply with the requirements in the Rules, then the marijuana establishment must either remediate or destroy the batch of marijuana or marijuana product. A.A.C. R9-18-311(C)(2), -311(C)(4)(b).

The Department is authorized to revoke a marijuana establishment license if the marijuana establishment violates the SASAA or the Rules. A.R.S. § 36-2854(B)(1)(a); A.A.C. R9-18-316(C)(3).

II. MARIJUANA ESTABLISHMENT LICENSE HISTORY

Natural Herbal Remedies, Inc. ("Natural Herbal") applied for and was awarded a

marijuana establishment license (No. 00000058ESFA63267513), effective January 22, 2021 (the "License"), for a Marijuana Establishment located at 3333 S. Central Ave., Phoenix, AZ 85040 (the "Establishment"). The License has a current expiration date of August 7, 2024.

III. REASONS FOR DEPARTMENT'S INTENT TO REVOKE THE MARIJUANA ESTABLISHMENT LICENSE

On November 9, 2022, the Department conducted a complaint inspection at the Establishment. During the inspection, Department Compliance Officers (the "Compliance Officers") observed violations of the SASAA and the Rules, which were noted in a Statement of Deficiencies that was provided to Natural Herbal. Compliance Officers observed the following violations:

i. Violations of A.A.C. R9-18-311(A)(1), -311(B)(8), and -311(C)

The Establishment failed to ensure that "each batch of marijuana is tested in compliance with requirements in R9-18-408 and Table 3.1" before "offering a batch of marijuana or of a marijuana product for sale or otherwise transferring marijuana or a marijuana product to a consumer." A.A.C. R9-18-311(A)(1). The Establishment also failed to ensure that "only batches of marijuana or marijuana products for which testing results . . . are in compliance with the requirements in R9-18-408 and Table 3.1 are offered for sale or transfer." A.A.C. R9-18-311(B)(8). The Establishment requested retesting by a second and third independent marijuana testing facility, and the Establishment failed to wait until after the third independent marijuana testing facility confirmed that the marijuana sample complied with the requirements in the Rules before selling or transferring marijuana or marijuana product. A.A.C. R9-18-311(C)(3)(a), -311(C)(4)(a). Instead, the Establishment violated A.A.C. R9-18-311(C)(3)(a) by selling or transferring marijuana or marijuana product after receiving testing results from the second independent marijuana testing facility.

A review of the Establishment's records revealed the following:

1. "El Alquimista GH401" was sold and transferred to multiple marijuana establishments without complying with the Rules. A total of 2,206 units of "El Alquimista GH401" were sold to consumers and medical marijuana patients from September 28, 2022 through October 27, 2022. "El Alquimista GH401" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated March 24, 2022. The certificate of analysis for the first retest that passed was dated April 13, 2022. The result of one passing test and one failing test required a necessary third test before the Establishment could sell or transfer "El Alquimista GH401," and the third test was not completed by the third independent marijuana testing facility until October 28, 2022. The Establishment violated the Rules by selling or transferring "El Alquimista GH401" before the third test was completed.

2. "Tangie Head 4 GH403" was sold and transferred to multiple marijuana establishments without complying with the Rules. A total of 2,425 units of "Tangie Head 4 GH403" were sold to consumers and medical marijuana patients from August 26, 2022 through November 3, 2022. "Tangie Head 4 GH403" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated March 31, 2022. The certificate of analysis for the first retest that passed was dated April 13, 2022. The result of one passing test and one failing test required a necessary third test before the Establishment could sell or transfer "Tangie Head 4 GH403," and the third test was not completed by the third independent marijuana testing facility until November 1, 2022. The Establishment violated the Rules by selling or transferring "Tangie Head 4 GH403" before the third test was completed.

3. "The Juice GH408" was sold and transferred to multiple marijuana establishments without complying with the Rules. A total of 1,924 units of "The Juice GH408" were sold to consumers and medical marijuana patients from August 16, 2022 through October 20, 2022. "The Juice GH408" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate

of analysis dated April 7, 2022. The certificate of analysis for the first retest that passed was dated April 18, 2022. The result of one passing test and one failing test required a necessary third test before the Establishment could sell or transfer "The Juice GH408," and the third test was not completed by the third independent marijuana testing facility until November 1, 2022. The Establishment violated the Rules by selling or transferring "The Juice GH408" before the third test was completed.

4. "Nasty Girl GH404" was sold and transferred to multiple marijuana establishments without complying with the Rules. A total of 1,268 units of "Nasty Girl GH404" were sold to consumers and medical marijuana patients from June 28, 2022 through October 31, 2022. "Nasty Girl GH404" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated March 31, 2022. The certificate of analysis for the first retest that passed was dated April 13, 2022. The result of one passing test and one failing test required a necessary third test before the Establishment could sell or transfer "Nasty Girl GH404," and the third test was not completed by the third independent marijuana testing facility until November 1, 2022. The Establishment violated the Rules by selling or transferring "Nasty Girl GH404" before the third test was completed.

5. "Gorilla Grapevine GH413" was sold and transferred to multiple marijuana establishments without complying with the Rules. A total of 1,174 units of "Gorilla Grapevine GH413" were sold to consumers and medical marijuana patients from August 16, 2022 through October 31, 2022. "Gorilla Grapevine GH413" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated April 21, 2022. The certificate of analysis for the first retest that passed was dated May 3, 2022. The result of one passing test and one failing test required a necessary third test before the Establishment could sell or transfer "Gorilla Grapevine GH413," and the third test was not completed by the third independent marijuana testing facility

until November 1, 2022. The Establishment violated the Rules by selling or transferring "Gorilla Grapevine GH413" before the third test was completed.

ii. Violation of A.A.C. R9-18-311(C)(1)

The Establishment failed to "request retesting of the remaining portion of the sample . . . for all analytes that do not comply with the requirements in R9-18-408 and Table 3.1 by a second, independent marijuana testing facility that is approved by the Department for testing the analytes." A.A.C. R9-18-311(C)(1). A review of the Establishment's testing records and certificates of analysis revealed the following:

1. "El Alquimista GH401" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated March 24, 2022. The remaining portion of the original sample was not sent for retesting.

2. "Tangie Head 4 GH403" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated March 31, 2022. The remaining portion of the original sample was not sent for retesting.

3. "The Juice GH408" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated April 7, 2022. The remaining portion of the original sample was not sent for retesting.

4. "Nasty Girl GH404" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated March 31, 2022. The remaining portion of the original sample was not sent for retesting.

5. "Gorilla Grapevine GH413" tested positive (i.e., had a failing test result) for aspergillus pursuant to a certificate of analysis dated April 21, 2022. The remaining portion of the original sample was not sent for retesting.

IV. FINDINGS, NOTICES, AND INSTRUCTIONS TO REQUEST A HEARING

YOU ARE HEREBY NOTIFIED that based on the foregoing and pursuant to A.R.S. § 36-2854(B)(1)(a) and A.A.C. R9-18-316(C)(3), the Department intends to revoke Natural Herbal's License (No. 00000058ESFA63267513) for failure to comply with SASAA and the Rules as set forth herein.

YOU ARE ADVISED that you have the right to request a hearing before the Arizona Office of Administrative Hearings and to have an Administrative Law Judge review this Notice of Intent to Revoke Marijuana Establishment License ("Notice"). A.R.S. § 41-1092.03(B). You may request a hearing by submitting a written request to the Clerk of the Department, Arizona Department of Health Services, **within thirty (30) calendar days** after this Notice is received. If you submit a timely request for a hearing, you will be given an opportunity at the hearing to respond to this Notice and to present evidence and argument on all relevant issues. A.R.S. § 41-1092.07(D). You have the right to be represented by counsel or to proceed without counsel. A.R.S. § 41-1092.07(B).

IF YOU TIMELY REQUEST A HEARING, YOU ALSO MAY REQUEST that the Department hold an informal settlement conference by submitting a written request to the Department **no later than twenty (20) calendar days** before the hearing scheduled in the matter. *See* A.R.S. § 41-1092.06(A). Such request shall be sent to Megan Whitby, Deputy Assistant Director, Public Health Licensing, Arizona Department of Health Services, 150 N. 18th Ave., Suite 410, Phoenix, Arizona 85007.

IF YOU DO NOT TIMELY REQUEST A HEARING, the Department's revocation of Natural Herbal's License (No. 00000058ESFA63267513) **will be automatically effective immediately upon the expiration of the thirty (30) day period following receipt of this Notice,** and the Department's revocation of Natural Herbal's License will not be subject to judicial review. A.R.S. §§ 12-902(B), 41-1092.08(H).

DATED this 5th day of July, 2023.

ARIZONA DEPARTMENT OF HEALTH SERVICES

McKenna Baker
Director's Designee

ORIGINAL filed this 5th day of July, 2023, with:

Clerk of the Department
Arizona Department of Health Services
150 N. 18th Ave., Ste 200
Phoenix, AZ 85007

COPY of the foregoing mailed certified mail,
return receipt requested this 5th day of July, 2023 to:

Matthew Darin, Owner
Peter Clateman, Owner
Natural Herbal Remedies, Inc.
16277 N. Greenway Hayden Loop, Suite 200
Scottsdale, AZ 85260

COPIES of the foregoing sent by electronic/interdepartmental/
regular mail this 5th day of July, 2023, to:

Matthew Darin, Owner
Peter Clateman, Owner
Natural Herbal Remedies, Inc.
16277 N. Greenway Hayden Loop, Suite 200
Scottsdale, AZ 85260

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